6.12

THE MOMENTUM SELLING STRATEGY: A PROFITABLE APPROACH TO OPTION TRADING

Strategy video

This section deals with providing and exploring a momentum-selling strategy that can be utilized in options trading. With the means to gain and capitalised on falling options premium, and influencing the potential for beneficial trades - this chapter contains it all. We will talk about the basic principles of the system, analyze the outcomes obtained by implementing strategies, and explore different varieties that can be applied. Toward the end of this chapter, you will have a complete comprehension of this methodology and can be prepared to integrate it into your trading practices.

STRATEGY OVERVIEW

The momentum option selling strategy aims to pocket premiums after a certain fall in the options premium at a specific time. ***For example:***

A trader can sit and analyse the options premium of ATM call and put options at 10 a.m. in the morning.

The trader can then wait and observe the Theta decay in both call and put options.